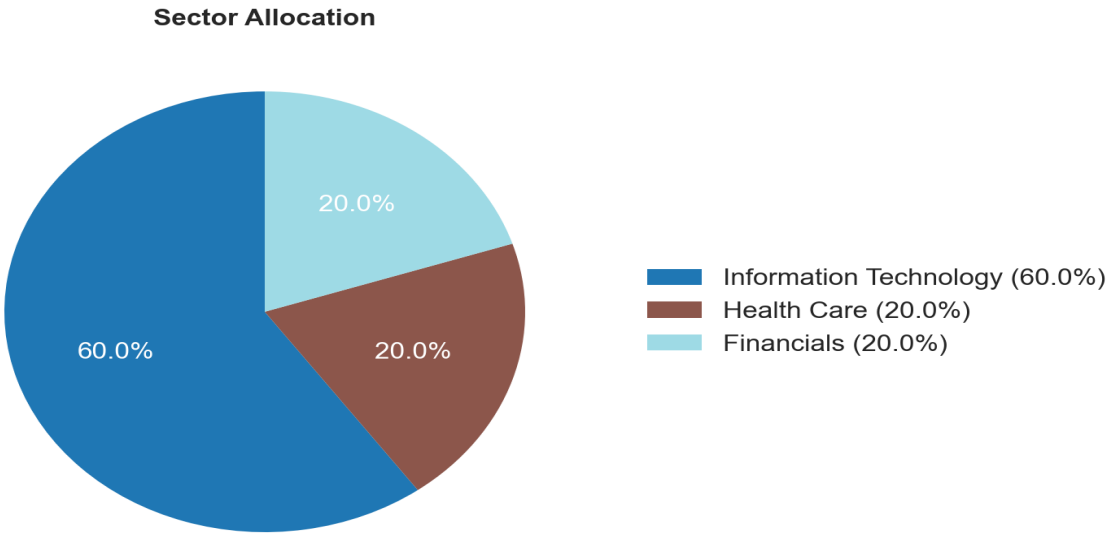


Portfolio rotation report

Date of extraction	2025-12-07 23:19
Data window	2022-01-03 → 2024-10-21
Frequency	Weekly — 147 observations. Sufficient depth: short- and long-term indicators are statistically reliable. Warning: the observation window exceeds the typical interpretability range for this frequency (+182.7% above the recommended upper bound). Results may blend multiple market regimes, reducing economic signal clarity.
Tickers	AAPL, JNJ, JPM, MSFT, NVDA
Indicators	Short term: 8 weeks volatility, 12 weeks return, 16 weeks momentum Long term: 20 weeks volatility, 24 weeks return, 48 weeks momentum

1. Portfolio Composition

- AAPL (Apple Inc. — Information Technology)
 - JNJ (Johnson & Johnson — Health Care)
- JPM (JPMorgan Chase — Financials)
 - MSFT (Microsoft — Information Technology)
 - NVDA (Nvidia — Information Technology)



Macro Profile Insight

- Macro coverage**

 - Highly concentrated structure: limited diversification and sensitivity to one macro driver.
 - Concentration risk: portfolio heavily dominated by mega caps, with limited diversification.
- Structural properties**

 - Concentration risk: portfolio heavily exposed to stock instruments.
 - Liquidity stance: pockets of thin/illiquid names; robust median dollar volume.
 - Market-neutral beta exposure: close alignment with index dynamics.
 - Balanced volatility structure: risk evenly distributed across holdings.
- Additional comments**

 - Significant sector gaps: broad portions of the economy remain uncovered.

2. Sector Performance Visualization



Top Positive Correlations

70.0% of portfolio

Pair	Correlation
MSFT / NVDA	0.68
AAPL / MSFT	0.67
AAPL / NVDA	0.58
JPM / NVDA	0.37
AAPL / JPM	0.36

Top Neutral Correlations

30.0% of portfolio

Pair	Correlation
JNJ / NVDA	-0.06
JNJ / MSFT	0.08
AAPL / JNJ	0.19

Overall, average cross-sector correlation was 0.34, ranging from -0.06 to 0.68. This suggests elevated co-movement — diversification benefits are partially reduced. Correlation dispersion remains meaningful, indicating both tightly and weakly linked sectors. Strongest co-movement between MSFT and NVDA (0.68); weakest between JNJ and NVDA (-0.06). Mixed regime: both market-wide and sector-specific forces are at play.

3. Key Performance Indicators

Ticker	R (%)	V (%)	RAR	M (%)	Signal	Regime	Liquidity	Commentary
AAPL	0.60	2.07	0.288	0.27	neutral	subdued	thin	mixed short-term dynamics, signal unclear or in transition, low volatility — calm market tone, under limited liquidity.
JNJ	0.03	1.26	0.022	0.78	neutral	subdued	thin	mixed short-term dynamics, signal unclear or in transition, low volatility — calm market tone, under limited liquidity.
JPM	1.04	3.64	0.286	0.67	mildly coherent	normal	thin	positive performance with solid momentum, signal remains coherent, but with limited conviction, normal volatility regime, under limited liquidity.
MSFT	0.40	3.36	0.118	-0.53	neutral	normal	thin	mixed short-term dynamics, signal unclear or in transition, normal volatility regime, under limited liquidity.
NVDA	2.46	8.54	0.288	0.88	strongly coherent	subdued	very_liquid	positive performance with solid momentum, signal remains strongly coherent with long-term momentum, low volatility — calm market tone, with ample liquidity.

Top by Average Return

Ticker	AvgReturn(%)
NVDA	2.46
JPM	1.04
AAPL	0.6
MSFT	0.4
JNJ	0.03

Top by Volatility

Ticker	Volatility(%)
NVDA	8.54
JPM	3.64
MSFT	3.36
AAPL	2.07
JNJ	1.26

Top by Momentum

Ticker	Momentum(%)
NVDA	0.88
JNJ	0.78
JPM	0.67
AAPL	0.27
MSFT	-0.53

3.b Rotation & Stress Metrics

Ticker	ΔReturn (pp)	Momentum Ratio	Signal	Volatility Ratio	Beta	ADV10 USD	Interpretation
AAPL	-0.43	0.53	0.177	0.68	1.11	46.01 M	stable performance, momentum fading, volatility compressing, amplifying market trends, under robust trading volume.
JNJ	-0.37	3.54	0.172	0.69	0.35	9.27 M	stable performance, momentum surging, volatility compressing, amplifying market trends, under robust trading volume.
JPM	0.54	0.65	0.406	1.14	1.07	8.35 M	acceleration in returns, momentum fading, volatility normalizing, amplifying market trends, under robust trading volume.
MSFT	0.30	-1.83	-0.187	1.10	1.07	25.74 M	stable performance, momentum collapsing, volatility normalizing, amplifying market trends, under robust trading volume.
NVDA	0.79	0.21	0.727	1.09	2.28	207.62 M	acceleration in returns, momentum collapsing, volatility normalizing, amplifying market trends, under robust trading volume.

■ Light-impact observations

For AAPL, JNJ, NVDA: *Volatility compression* — subdued volatility; a breakout setup may be forming. (avg ann. return 1.0%, momentum 0.6%, vol 4.0%)

For JPM, MSFT: *Range / noise* — no clear direction; rotating momentum and mid-range volatility. (avg ann. return 0.7%, momentum 0.1%, vol 3.5%)